ILLUSTRATIVE BUSINESS VALUATION | OCTOBER 2026

Asterion Industrial Technologies

Executive valuation report | DCF, WACC and trading comparables

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Executive summary

Asterion Industrial Technologies is a fictional industrial automation and precision-components company. The financial model estimates an illustrative enterprise value of **$719.54 million** under a five-year discounted cash flow (DCF) using perpetual growth. Deducting $123.00 million of net debt implies equity value of **$596.54 million**, or **$14.91 per share** on 40 million assumed shares.

Valuation approach	Enterprise value	Equity value	Value / share
DCF: perpetual growth	$719.54m	$596.54m	$14.91
DCF: exit multiple	$790.69m	$667.69m	$16.69
Trading comparables	$607.44m	$484.44m	$12.11

Key conclusions

Valuation dispersion: The three methods produce an indicative equity value range of $484.44m–$667.69m ($12.11–$16.69 per share). This is a scenario range, not an investment recommendation or independently supported fair-value conclusion.

Terminal-value concentration: The perpetual-growth terminal value represents 78.7% of the DCF enterprise value, creating material exposure to WACC and terminal-growth assumptions.

Comparables limitation: The five peers are fictional. Their multiples are constructed assumptions, not observed market prices, and cannot independently corroborate market value.

Operating outlook (USD millions)

Metric	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	355.20	392.50	427.82	462.05	494.39
EBITDA	63.94	74.57	85.56	97.03	108.77
EBITDA margin	18.0%	19.0%	20.0%	21.0%	22.0%
Unlevered FCF	27.30	33.30	40.15	47.30	54.83

WACC assumptions

Component	Illustrative assumption
Risk-free rate / equity risk premium	4.00% / 5.50%
Levered beta / cost of equity	1.15x / 10.33%
Pre-tax / after-tax debt cost	6.50% / 4.88%
Debt / equity target weighting	25% / 75%
Weighted average cost of capital	8.96%

DCF construction

Unlevered free cash flow is calculated as EBIT less notional cash taxes, plus depreciation and amortisation, less capital expenditure and change in net working capital. Forecast cash flows are discounted at year-end over FY2026–FY2030.

DCF component	Perpetual-growth method
Present value of forecast free cash flow	$153.38m
Terminal value (undiscounted)	$869.61m
Present value of terminal value	$566.16m
Enterprise value	$719.54m
Less: net debt	($123.00m)
Equity value	$596.54m

Terminal growth is 2.50%, below the 8.96% WACC. The exit-multiple alternative uses 9.0x FY2030E EBITDA and implies enterprise value of $790.69m.

VALUATION TRIANGULATION & CONSIDERATIONS

Trading comparables

The model uses five synthetic industrial peers. Median EV/revenue is approximately **1.72x** and median EV/EBITDA approximately **9.44x**. Applied to FY2026E company metrics, these imply enterprise values of $611.41m and $603.48m, respectively. Their simple average is $607.44m.

Sensitivity and risk considerations

Discount rate and terminal growth: Small movements in WACC or perpetual growth can materially change DCF value because most enterprise value is attributable to the terminal period. The Excel workbook provides a two-variable sensitivity grid.

Margin execution: The model assumes EBITDA margin expansion from 18.0% in FY2026E to 22.0% in FY2030E. Failure to achieve this operating leverage would reduce projected cash generation and valuation.

Capital intensity and working capital: Capex is modelled at 5.5% of revenue and net working capital at 12.0% of revenue. These simplifying ratios may not capture industrial-cycle investment requirements or cash conversion volatility.

Market validation: The comparable companies are invented; actual valuation work would require documented peer selection, verified market data, lease/debt adjustments, calendarisation, and assessment of business comparability.

Professional interpretation

The case study demonstrates an internally linked valuation framework and the mechanics of valuation triangulation. The model-derived range should be treated as illustrative only. A real valuation engagement would require source-verified financial statements, management interviews, capital structure validation, independent cost-of-capital assessment and documented sensitivity judgments.

Model scope and limitations

Historical FY2024–FY2025 financials, forecasts, company profile, share count, net debt and peer data are synthetic. The workbook is not a fully integrated three-statement model; tax, capex and working-capital assumptions are simplified. Figures reflect the workbook's saved calculation outputs, rounded for presentation. It is not a fairness opinion, assurance engagement or investment advice.

Portfolio: github.com/yashkumaar1989/Business-Valuation-DCF-Financial-Modelling